



Navigating California's Climate Disclosure Mandates

SB 253, SB 261 & SB 219



July 2025

Introduction to California's Climate Disclosure Laws

California has taken a pioneering step in climate accountability by enacting three landmark pieces of legislation: SB 253, SB 261, and SB 219. These laws collectively aim to standardize and enforce climate-related disclosures, aligning state-level expectations with global reporting frameworks like the GHG Protocol, TCFD, and ISSB.

The move from voluntary to mandatory climate disclosures is expected to impact thousands of companies that do business in California, not just those headquartered there. Businesses must now prepare for rigorous reporting requirements, enhanced transparency expectations, and a regulatory environment that prioritizes environmental risk management.

SB 253 — **Climate Corporate Data Accountability Act**

- Applies to companies with over **\$1 billion** in annual revenue doing business in California.
- Requires annual public disclosure of: Scope 1, Scope 2 and Scope 3 (starting later).
- Third-party assurance is mandated (initially for Scope 1 and 2).
- Many non-California firms may also be indirectly impacted by Scope 3 reporting if they are in the supply chains of covered companies.

Climate-Related Financial Risk Act

SB 261

- Applies to companies with over **\$500 million** in annual revenue (excluding insurance companies).
- Requires biennial disclosures of Climate-related financial risks and Measures taken to mitigate those risks.
- Goal: Elevate climate risk to a strategic business issue by requiring companies to assess, disclose, and plan for the financial impacts of climate change.

SB 219

- SB 219 introduces technical amendments to SB 253 and SB 261, without major changes to their scope or timelines.
- It gives the California Air Resources Board (CARB) additional time to finalize the regulations.
- It acts as the regulatory scaffolding that supports and operationalizes SB 253 and SB 261.

SB 253

Who is covered?

- Companies with total annual revenues **> \$1 billion** (worldwide), and that do **business in California**.
- Applies to public and private companies, regardless of headquarters location.
- Includes subsidiaries and parent companies in scope if they meet the revenue threshold.



What is required?

Annual public disclosure of:

Scope 1 emissions

Direct GHG emissions from owned/controlled sources

Scope 2 emissions

Indirect GHG emissions from electricity, heating, and cooling

Scope 3 emissions

All other indirect emissions (e.g., supply chain, travel, product use)



Reports must follow **GHG Protocol** standards.

Assurance requirements

Scope 1

- Limited in 2026
- Reasonable by 2030

Scope 2

- Limited in 2026
- Reasonable by 2030

Scope 3 emissions

- Limited assurance beginning 2030

When it applies?

Requirement	Applies to Data From	Reporting Deadline
Scope 1 & 2 Disclosure	2025	2026
Scope 3 Disclosure	2026	2027

Why it matters?

- Aims to standardize carbon reporting and hold large emitters accountable
- Creates a level playing field for investors, consumers, and regulators to assess climate performance
- Drives corporate emissions reductions, especially in value chains
- Influences suppliers and global operations of major corporations

Enforcement

- Companies that fail to file required emissions disclosures (Scope 1, 2, and later 3) may face administrative penalties of up to **\$500,000** per reporting year.
- First-Year Penalty Relief: No penalties will be imposed in the initial reporting year if the report is submitted in good faith, even if it contains inaccuracies.

SB 261

Who is covered?

- Companies with total annual revenues > **\$500 million** (worldwide), and that do **business in California**.
- Applies to public and private companies, regardless of headquarters location.
- Insurance companies are excluded.



What is required?

A **biennial public report** disclosing:



Climate-related financial risks faced by the company

Physical risks

Transition risks



Measures taken to reduce and adapt to those risks

Climate mitigation

Climate adaptation

Disclosures should align with **TCFD** or **IFRS** recommendations

TCFD

TASK FORCE ON
CLIMATE-RELATED
FINANCIAL
DISCLOSURES



IFRS

When it applies?

- First report due by January 1, 2026
- Companies may use the 2025 calendar or fiscal year as the disclosure basis



Why it matters?

- Encourages companies to proactively assess climate risks, not just carbon emissions.
- Helps investors, regulators, and stakeholders understand the financial stability and adaptability of businesses under climate stress.
- Aligns with global disclosure norms (TCFD, ISSB, EU CSRD).
- Elevates climate risk from a compliance issue to a board-level strategic priority.

Enforcement

- Companies that fail to publish climate-related financial risk disclosures may face – Administrative penalties up to **\$50,000** per reporting year
- The law encourages a "comply or explain" approach, allowing companies to acknowledge data limitations as long as disclosures are made in good faith.

SB 219

What is SB 219?

- SB 219 is a **technical companion bill** to SB 253 and SB 261 that gives the **California Air Resources Board (CARB)** enhanced authority and flexibility to coordinate the implementation of climate-disclosure rules.

Why it matters?

- Grants CARB additional time, flexibility, and clarity to establish workable regulations.
- Reduces compliance complexity for larger companies through consolidation and adjusted timelines.
- Ensures California's ambitious climate laws remain administratively executable .

Key provisions

- **Extension of CARB's Regulatory Deadline** : SB 219 extended the deadline for the California Air Resources Board (CARB) to adopt implementing regulations from January 1, 2025, to July 1, 2025. This extension aimed to provide CARB with additional time to develop comprehensive guidelines for SB 253 and SB 261. However, as of June 2025, CARB announced that it would not meet the July 1 deadline and now anticipates adopting final rules by 2026.
- **Flexibility in Scope 3 Emissions Reporting**: Originally, SB 253 required companies to disclose Scope 3 emissions within 180 days of reporting Scope 1 and 2 emissions. SB 219 amended this by granting CARB the discretion to set the schedule for Scope 3 emissions disclosures, allowing for more tailored timelines.
- **Consolidated Reporting for Parent Companies**: SB 219 permits subsidiaries to consolidate their emissions reports with their parent companies. This change simplifies the reporting process for corporate groups and aligns SB 253 with the consolidated reporting allowed under SB 261.
- **Adjustment of Filing Fee Requirements**: SB 219 removes the requirement for companies to pay fees upon filing their emissions reports. While the fees themselves still exist, the timing of payment is no longer tied to the act of filing, providing companies with more flexibility in managing compliance costs.

May 2025 CARB workshop

On May 29, 2025, CARB hosted a virtual workshop to kick off the regulatory process for SB 253, SB 261, and SB 219. Highlights included:

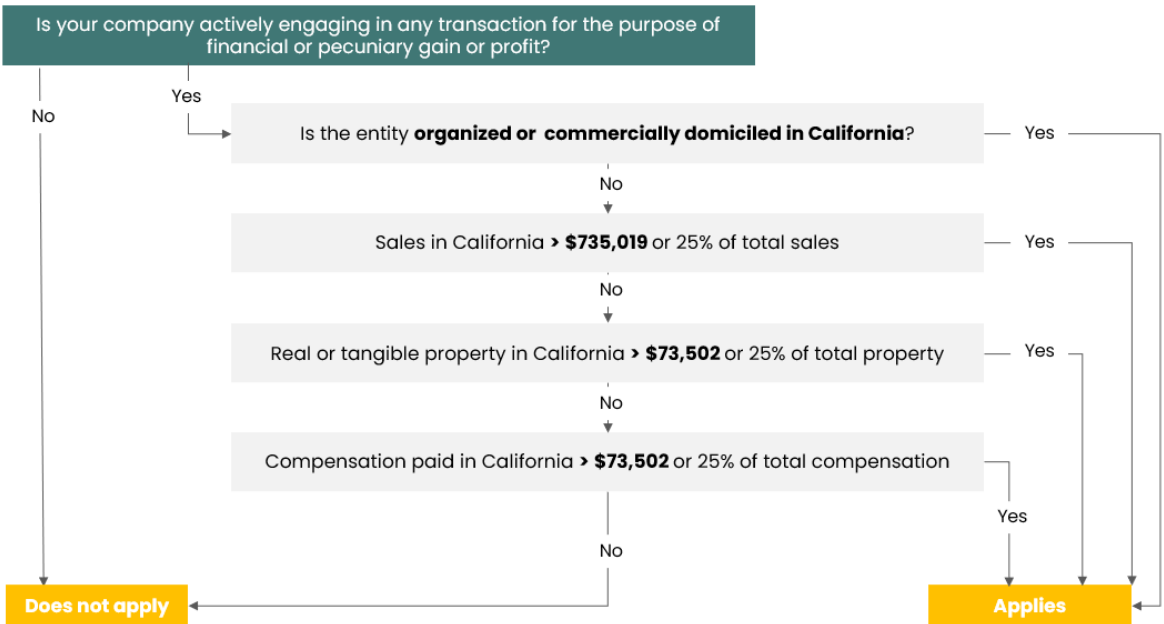
- A legislative overview, updated timelines, and key stakeholder feedback reviews
- CARB's admission that it will miss the July 2025 deadline, now aiming for late 2025/2026 rule adoption
- Emphasis on compliance timelines remaining unchanged – Scope 1 & 2 due in 2026, Scope 3 in 2027, SB 261 first report by Jan 1, 2026
- Assurance of enforcement discretion for companies making good-faith efforts in their first filing cycle
- Early guidance on interpretations such as “doing business in California,” revenue thresholds, and parent-subsidiary consolidation



CARB's Initial Staff Concepts

Doing business in California

- CARB is aligning its definition with the California Revenue and Taxation Code (§23101), subject to public feedback and minor modifications.



Revenue

- Total annual revenue would be defined as the Gross receipts as defined in California Revenue and Taxation Code section 25120(f)(2).
- Entities must exceed:
 - \$1 billion in total revenue (SB 253)
 - \$500 million in total revenue (SB 261)

Parent-subsidiary reporting

- CARB plans to use corporate boundaries similar to its cap-and-trade regulations:
 - Subsidiaries with ≥ 50% ownership/control are considered part of the same reporting entity
 - Enables consolidated reporting under a single parent or subsidiary filing structure

What should you do now?

California's climate disclosure laws are here and whether you're directly covered or just adjacent to the supply chain, it's time to act. Here's how you can get ahead of the curve:

Check If the Laws Apply to You

- Do you meet California's "doing business" criteria?
- Is your annual revenue \$1 billion or more (SB 253) or \$500 million or more (SB 261)?
- Even if you're not headquartered in California, Scope 3 emissions reporting may still pull you in indirectly.



Organize Your Climate Data

- Start gathering your GHG emissions data – Scopes 1 and 2 are mandatory, and Scope 3 is not far behind.
- For SB 261, assess how your organization identifies and manages climate-related financial risks.
- Align with frameworks like TCFD or ISSB if you're not already doing so.



Build Internal Readiness

- Set up governance and controls for climate reporting, just like you would for financial disclosures.
- Create a cross-functional working group involving legal, compliance, sustainability, and finance.
- Ensure leadership understands reporting obligations and reputational stakes.



Invest in the Right Tools and Partners

- Use reliable platforms to calculate and track emissions in line with the GHG Protocol.
- Bring in advisors or assurance partners early to prepare for third-party review requirements
- Scope 3 reporting and assurance will require complex data gathering, start laying the groundwork now.



Act Early – Deadlines Are Firm

- Despite regulatory delays, compliance deadlines remain unchanged:
 - SB 261: First climate risk reports due January 1, 2026
 - SB 253: Scope 1 & 2 disclosures due in 2026; Scope 3 in 2027



The sooner you begin, the smoother your first reporting cycle will be and the lower your exposure to risk, scrutiny, or penalties.



Empower your ESG journey with us!

At **ecoPRISM**, we help organizations turn complex climate disclosure requirements like SB 253 and SB 261 into clear, actionable steps. From scoping and emissions data management to risk assessment and disclosure, our platform and advisory team provide end-to-end support aligned with GHG Protocol, TCFD, and global standards. Whether you're determining applicability, building internal readiness, or preparing for third-party assurance, ecoPRISM equips you with the tools, insights, and workflows needed to stay compliant, confident, and ahead of the curve.



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